KSH International Ltd: Concall Tracker

Magnet winding wire for transformers and motors · Screener: KSHINTL · BSE 544664 · Quarter folder Q2-2027 · Builds on the Q1-2027 report (coverage to the 11 Aug 2026 call) · New call deep-read: Q2 FY27, 5 Nov 2026

1. Snapshot

What the business does: KSH makes magnet winding wire, the insulated copper wire wound into the coils of electrical machines. Its main product is CTC (continuously transposed conductor), a precision wire for big power transformers on the grid. It sells to over 120 transformer and machine makers in India and abroad and is India's largest winding-wire exporter. Copper cost is passed straight to customers, so KSH really earns on the value it adds per tonne.

Measure	Value	Plain-English read
Market value	₹6,728 cr	What the market values the whole company at today, at about ₹992 a share.
Q2 FY27 sales	₹1,320 cr	Sales for Jul-Sep 2026, up 85% on a year ago. Part of that is pricier copper passed through.
Q2 FY27 volume	8,842 t	Tonnes actually shipped, up 26% on a year ago and 11% on Q1. This is the real growth.
Q2 FY27 EBITDA	₹90 cr	Operating profit before interest, tax and depreciation, up from ₹46 cr a year ago and ₹74 cr in Q1.
EBITDA per tonne	~₹1,01,000	Operating profit on each tonne sold. A new record, up from ~₹93,000 in Q1 and ~₹65,000 a year ago.
Q2 FY27 net profit	₹48 cr	A quarterly record, up 62% on a year ago.
Debt	₹341 cr	Down from ₹481 cr at the end of June, as working capital came down and operations generated cash.
P/E	~45	The share price is about 45 times a year's profit. Expensive.

2. Concall coverage

Quarter	Call date	Transcript read?
Q2 FY26 → Q4 FY26 (3 calls)	Jan → May 2026	Carried forward from earlier reports
Q1 FY27 (prior boundary)	11 Aug 2026	Read for the Q1-2027 report
Q2 FY27	5 Nov 2026	Newly deep-read in full ★

Only the Q2 FY27 call was read in full this quarter; the backstory comes from the prior report. KSH listed in Dec 2025, so this is its fifth call.

★ Latest concall highlights: Q2 FY27 (5 Nov 2026)

- **Another record.** Profit ₹48 cr (+62%), volume 8,842 t (+26%), EBITDA per tonne about ₹1,01,000, helped by a high CTC share, exports at 32% of revenue (26% in Q1), a weak rupee and the new recycling and rooftop solar plants.
- **Phase 2 done six months early.** Installed capacity reached 57,845 t on 9 Sep 2026, 96% of the planned Supa expansion, versus a March 2027 target. Power Grid approved the Supa plant for wire up to 765 kV transformers.
- **Phase 3 announced.** Up to ₹185 cr, mostly spent in FY28, to take capacity to about 72,200 t by Q1 FY29, plus 10 more acres at Supa for about 20,000 t more later. Specialised wire utilisation crossed 80%, their trigger for new capacity.
- **Guidance nudged up.** Long-term sustainable EBITDA per tonne now ~₹85,000 after Phase 3 (was ~₹75,000). FY27 volume growth ~25-26%, second half bigger than first.
- **Cash and debt.** ₹43 cr operating cash flow in H1, debt down ~₹140 cr in the quarter, working capital 52 days (60 in Q1). Tone confident; still careful not to extrapolate the record margin.

Business mix & capacity

India vs exports: Exports were about 32% of Q2 revenue (26% in Q1), with export revenue up 108% on a year ago. Middle East about 10-11%, Europe and Americas each under 10%, India about 73% on management's rough split. Target: back to ~40% exports in one or two years.

Capacity: 57,845 t installed. Utilisation 76% on available capacity (73% in Q1); specialised wire above 80%. Phase 3 takes it to ~72,200 t by Q1 FY29, with ~85% seen as the optimum around FY30-31.

★ Since our last report

Builds on the Q1-2027 report (call of 11 Aug 2026). Prior verdicts: trigger YES, consistency MAYBE (leaning YES, only because the record was short).

Prior read	What we said then	What the new call shows	Movement
Trigger (YES)	Capacity doubling into a grid boom, richer mix lifting profit per tonne.	Volume +26%, record profit per tonne, Phase 2 done, Phase 3 approved.	Confirmed
Consistency (MAYBE)	Delivered everything, but only four calls.	Phase 2 six months early, debt and working capital down, guidance beaten again.	Improving
Phase 2 to ~59k t by Mar 2027	On track, 14,400 t done.	96% done by 9 Sep 2026.	Confirmed
Cut working capital	60 days.	52 days; positive operating cash flow in H1.	Improving
Exports towards 40%	~27% of revenue.	~32% of revenue, export revenue doubled.	Improving
Hitachi five-year framework	Signed, no volumes or prices.	Still being worked out; answer on long-term deals in about two quarters.	Too early
Customers slow to pick up orders	A few transformer makers delayed pickups.	Not raised as an issue; volume up 11% on Q1.	Improving

Verdict change: Trigger unchanged at YES. Consistency upgraded to YES: Phase 2 landed six months early, which was the test we set, and the cash and debt promises came through too.

3. Earning Trigger thesis ★

Transformer makers worldwide have order books running to 2032 and are adding capacity, and every transformer needs winding wire. KSH has now doubled its own capacity and is filling it with its richest products: CTC, 765 kV wire and exports. That's in the numbers: tonnes up a quarter, profit per tonne at a record, and a third expansion already approved because specialised lines are past 80%. The risk isn't demand. It's the blended margin falling as cheaper standard wire fills the new lines, and transformer makers building their own CTC.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Capacity (29k → 58k → 72k t)	Phase 2 by Mar 2027; Phase 3 by Q1 FY29.	Phase 2 96% done Sep 2026; Phase 3 approved.	Now to FY29	Strong	↑ six months early
Grid / transformer demand	OEMs expanding, order books to 2032.	Specialised wire revenue +87%; exports +108%.	Multi-year	Strong	unchanged
Mix lifting profit per tonne	~₹85,000/t long term (was ~₹75,000).	~₹1,01,000 in Q2; but standard wire will dilute it.	Ongoing	Strong	↑ guide raised
Exports back to 40%	One to two years.	32% of revenue, from 26%.	1-2 years	Moderate	↑ improving
HVDC and long-term deals	Trial HVDC order overseas; Hitachi framework.	Trial order for two transformers, delivery this year; framework terms pending.	FY27-28	Unproven	new HVDC trial
EV (PEEK) wire	Meaningful volume around FY28-29.	Now pushed to post FY29.	FY29+	Weak	↓ slipped a year

The catch: Profit per tonne is at a peak management itself won't promise. Finance cost rose even as debt fell, because supplier credit carries interest. A couple of Indian transformer makers are building their own CTC. The stock already prices a lot of this.

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	Yes	Debt down to ₹341 cr from ₹481 cr in Q1; leverage 0.38x from 0.51x (5 Nov 2026).
New business	Yes	Trial order for specialised wire for two HVDC transformers overseas (5 Nov 2026).
Margin up	Yes	EBITDA per tonne ~₹1,01,000 vs ~₹93,000 in Q1, on CTC, exports and rupee (5 Nov 2026).
New management	No	No change.
New capacity	Yes	Supa Phase 2 at 57,845 t on 9 Sep 2026, six months early; Phase 3 to ~72,200 t by Q1 FY29 (5 Nov 2026).
Big orders	No	Hitachi framework still has no volumes or prices; no order book figure given.
Turnaround	No	Not applicable.
Promoter buying	No	Not mentioned.

Single concrete driver: The doubled Supa plant, finished six months early, is filling with transformer wire and exports as global transformer makers expand.

3c. Margin bridge

EBITDA per tonne jumped to about ₹1,01,000 from about ₹65,000 a year ago and ₹93,000 in Q1. Causes: CTC share stayed high because the new standard-wire lines only came on late in the quarter, exports rose to 32% of revenue (3-5% richer than domestic), a weak rupee, and savings from the recycling and solar plants. Management says the mix will drift back towards standard wire in H2 and sees ~₹85,000 as the sustainable level, so part of this quarter's jump won't stay. (one-off)

4. Management Consistency scorecard

Period / theme	What was promised	What actually happened	Verdict
Jan-May 2026	Profit per tonne ₹65,000-70,000 sustainable.	₹93,000 in Q1, ~₹1,01,000 in Q2.	Delivered
May 2026	FY27 volume growth at least 21%.	H1 around +26%; full-year guide now 25-26%.	Delivered
All calls	Phase 2 to ~59k t by March 2027.	96% done by 9 Sep 2026.	Delivered
IPO objectives	Repay debt; upcast recycling plant.	Done; recycling plant running and adding to margin.	Delivered
All calls	Cut working-capital days.	71 → 65 → 60 → 52 days.	Delivered
Multi-year	Exports back to ~40%.	32% now.	Partly
FY28-29	EV / PEEK wire volumes.	Now post FY29.	Partly

Narrative drift: None worth worrying about. Five calls in, it's the same grid-boom, capacity, richer-mix story, and they keep beating their own numbers while refusing to extrapolate the peak. The only thing that slid is the small EV wire bet, now pushed to after FY29.

5. Bottom line: two verdicts

Durable earning trigger? → YES (vs last quarter: unchanged)

Phase 2 coming early and Phase 3 being approved firmed it up. Volume grew a quarter, profit per tonne set a record and exports doubled. The catches are a profit-per-tonne peak that will fade as standard wire fills the new lines and a pricey stock.

Management consistent? → YES (vs last quarter: upgraded)

We said it would flip to YES if Phase 2 landed on time; it landed six months early. Debt, working capital and cash flow all moved the way they said, and they kept guidance below what they're printing. Still a short record, but a clean one.

6. Checkpoints for next quarter

- H2 volume is higher than H1, keeping full-year growth near the guide
- Exports hold near a third of revenue
- Phase 3 spending and land purchase start on schedule

Sources: KSH International Q2 FY27 earnings-call transcript (5 Nov 2026, via Screener / BSE), the Q1-2027 concall-tracker report for earlier calls, Screener snapshot data. Not investment advice. Do your own due diligence.